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INTERIM FINANCIAL STATEMENTS
UNAUDITED GROUP RESULTS FOR THE SIX MONTHS ENDED 30TH JUNE 2019

Condensed Statement of Comprehensive Income for the six months ended 30 June 2019

	Group 2019 Kshs'000	Group 2018 Kshs'000	Company 2019 Kshs'000	Company 2018 Kshs'000
Turnover	**698,944**	872,577	**650,173**	**735,021**
Profit / (loss) from operating activities	1,005,122	(140,193)	1,018,286	(43,745)
Interest expense	(109,302)	(279,589)	(102,720)	(264,134)
Foreign exchange gains / (losses)	6,320	(13,777)	5,632	10,703
Profit / (loss) before tax	**902,140**	(433,559)	**921,198**	**(297,176)**
Income tax (expense) / credit	(268,543)	130,171	(276,346)	89,189
Profit / (loss) for the period	**633,597**	**(303,388)**	**644,852**	**(207,987)**
Profit / (loss) from operations attributable to:				
Equity holders of parent company	642,687	(256,356)	644,852	(207,987)
Non-controlling interest	(9,090)	(47,032)	-	-
Profit / (loss) for the period	**633,597**	**(303,388)**	**644,852**	**(207,987)**
Basic and Diluted Earnings per share (KShs)	**2.54**	**(1.01)**	**2.55**	**(0.82)**

Condensed Statement of Financial Position as at 30 June 2019

	Group 2019 Kshs'000	Group 2018 Kshs'000	Company 2019 Kshs'000	Company 2018 Kshs'000
Assets				
Non-current assets	5,310,797	4,468,687	3,795,350	3,079,496
Current assets	1,080,937	1,925,808	1,160,252	1,656,185
Total assets	**6,391,734**	**6,394,495**	**4,955,602**	**4,735,681**
Equity and liabilities				
Share Capital	126,563	126,563	126,563	126,563
Reserves	1,691,909	1,032,446	1,487,789	760,702
Non-controlling interest	316,338	385,714	-	-
Non-current liabilities	2,634,006	1,067,470	2,252,723	964,464
Current liabilities	1,622,918	3,782,302	1,088,527	2,883,952
Total equity and liabilities	**6,391,734**	**6,349,495**	**4,955,602**	**4,735,681**

Condensed Statement of Cash flows for the six months ended 30 June 2019

	Group 2019 Kshs'000	Group 2018 Kshs'000	Company 2019 Kshs'000	Company 2018 Kshs'000
Cash generated from operations	1,510,126	270,748	1,328,515	260,336
Income taxes paid	-	-	-	-
Cash generated from operating activities	**1,510,126**	**270,748**	**1,328,515**	**260,336**
Cash used in investing activities	(2,455)	(2,572)	(2,455)	(594)
Cash used in financing activities	(1,484,131)	(277,418)	(1,305,026)	(253,089)
Increase in cash and cash equivalents	**23,540**	**9,240**	**21,034**	**6,653**
Cash and cash equivalent at 1 January	166,650	219,494	15,871	53,779
Cash and cash equivalent at 30 June	**190,190**	**210,252**	**36,905**	**60,432**

Condensed Statement of Changes in Equity for the six months ended 30 June 2019

	Group 2019 Kshs'000	Group 2018 Kshs'000	Company 2019 Kshs'000	Company 2018 Kshs'000
Share capital	126,563	126,563	126,563	126,563
Share premium	545	545	545	545
Revaluation reserve	2,045,342	1,712,620	1,398,665	1,065,943
Revenue reserve	(238,279)	(565,995)	88,579	(305,786)
Exchange reserve	(115,699)	(114,724)	-	-
Total equity attributable to equity holders of company	1,818,472	1,159,009	1,614,352	887,265
Non-controlling interest	316,338	385,714	-	-
Total Equity	**2,134,810**	**1,544,723**	**1,614,352**	**887,265**

Commentary

The Board of Directors is pleased to announce the interim unaudited results for the six months ended 30 June 2019.

The Group and Company recorded net earnings of KShs 634 million and KShs 645 million respectively, a significant shift from the losses of KShs 303 million and KShs 208 million recorded in the same period last year. The Group continues to achieve its turn-around milestones including the just concluded debt restructure and efficiency optimization. Through continued implementation of Total Performance Management (TPM), the umbrella initiative in efficiency improvement and skills enhancement, the Group has recorded significant reduction in process waste, more synchronized supply chain planning as well as reduction in overall expenses by 15% thereby resulting to leaner and more sustainable organization. With the reduced debt burden and lower debt service cash requirement, the Group is focusing on increasing allocation of available resources to roll-out innovative products, product support and deepening its market presence by widening the distribution of its premium products.

Dividend

The directors do not recommend payment of an interim dividend.

Outlook

On the market front, the Group has embarked on promoting its brand visibility and improving customer experience to expand its market share. The growing demand for our products, backed by a robust construction sector, regional governments' support for industrialization and local manufacturing, power infrastructure projects and the big 4 agenda housing projects is expected to grow our revenue. The Board is confident that the collective effort of all stakeholders in our business will yield positive results.

By Order of the Board
Virginia Ndunge
Company Secretary
Nairobi,
7th August, 2019